

MGT503 MID-TERM NOTES

What is an Organization?

- It is an entity where two or more persons work together to achieve a goal or a common purpose. For Example: hospitals, colleges, factories, etc.

Who are Managers?

- Managers work with and through others to coordinate activities for organizational goals.

Management Process:

- Management process is the set of ongoing decisions and work activities in which managers engage as they plan, organize, lead, and control.

POLCA:

- Planning: Defining organizational goals and planning strategies for achieving them.
- Organizing: Allocating tasks, decision-making responsibilities, and establishing work relationships.
- Leading: Inspiring and motivating employees to enhance productivity.
- Controlling: Monitoring progress and adjusting strategies as necessary.
- Assurance: A manager must perform all these management functions with Assurance.

What is Management?

- Management is about getting work done efficiently and effectively through planning, organizing, leading, and controlling (POLCA).

Management Roles:

- A role is an organized set of behaviors that is associated with a particular office or position. Dr. Henry Mintzberg categorized managerial behavior into three types of roles.
- **Interpersonal Roles:** Figurehead, Leader, Liaison
- **Informational Roles:** Monitor, Disseminator, Spokesperson
- **Decisional Roles:** Entrepreneur, Disturbance Handler, Resource Allocator, Negotiator

Not-for-Profit Organization:

- It is an organization whose main purposes center on issues other than making profits.

Efficiency and Effectiveness:

- Efficiency is about using less to get more, while effectiveness is about achieving goals. Management aims to use resources wisely and reach goals successfully by doing the right things.

Managerial Levels and Skills:

- Levels of Managers: Top, Middle, First-Line Managers (or First-Line Supervisors), and Non-managerial Employees
- First-line managers supervise non-managerial employees, with titles like "supervisor."
- Middle-level managers oversee first-line managers, implement plans, and coordinate departments. Titles include: "director of", "chief", "department head", etc.
- Top managers, with titles such as "CEO" or "president", hold ultimate authority, overseeing overall planning and reporting to the board of directors.

Difference in Functions within Hierarchy:

- Planning is more important for top-level managers.
- Organizing is important for top and middle-level managers.
- Leading is more important for first-line managers.
- Controlling is important at all levels.

Managerial Skills:

- **Technical Skills:**

It reflects understanding and proficiency in a specialized field.

- **Human Skills:**

It is associated with a manager's ability to work well with others.

- **Conceptual Skills:**

It is related to the ability to visualize the entire organization.

Four trends are likely to impact managerial work in the future: (Just Understand)

- Managers in the future need to be savvy in dealing with changes like economic shifts and new technology by being innovative.
- The workforce is getting more diverse, so managers should know how to make the most of different types of employees.
- Global competition is heating up, so managers should know their way around international business.
- Lastly, keeping quality top-notch is crucial in the face of global competition, so continuous improvement programs are a big deal.

Management's Connection to Other Fields of Study:

- Management courses have roots in humanities and social sciences and various fields contribute to management knowledge such as:
 - Anthropology
 - Economics
 - Philosophy
 - Political Science
 - Psychology
 - Sociology

Pre-classical Contributors:

- Robert Owen: Advocated for better working conditions, especially for children.
- Charles Babbage: Considered the "father of modern computing" and foresaw work specialization.
- Henry E. Towne: Called for a science of management and universal management principles.

Scientific Management:

- Definition: The use of the scientific method to find the "one best way" for a job.
- Frederick W. Taylor, "father of scientific management."

Taylor's Contributions:

- Introduced four principles of management.
- Conducted the famous "pig iron" experiment.
- Achieved consistent productivity improvements.

Taylor's Four Principles:

- Scientific study of each task.
- Careful worker selection and training.
- Full cooperation with workers.
- Division of work and responsibility between management and workers.

Frank and Lillian Gilbreth:

- Improved time-and-motion study techniques.
- Introduced "Therbligs" to identify work motions.
- Published "The Psychology of Management."
- Frank demonstrated the value of motion studies in his construction company.

Henry L. Gantt:

- Taylor's associate known for the Gantt chart.
- Developed a unique pay incentive system.
- Addressed the social responsibility of business.

Bureaucratic Management:

- General Administrative Theorists: Henri Fayol and Max Weber.
- Henri Fayol: Managed a French coal-mining firm, focused on all managerial activities.
- Max Weber: German sociologist, introduced bureaucracy as an ideal organizational form.

Characteristics of Weber's Ideal Bureaucracy:

- Specialization of labor.
- Formalization of rules and procedures.
- Impersonality in applying rules.
- Hierarchical structure of authority.
- Merit-based career advancement.

Henri Fayol's Contributions:

- Successful French industrialist (1841-1925).
- Developed functional approach to management.
- Major managerial functions: planning, organizing, commanding, coordinating, and controlling.

Fayol's 14 Principles of Management:

- Division of Work
- Authority
- Discipline
- Unity of Command
- Unity of Direction
- Subordination of Individual Interests
- Remuneration
- Centralization
- Scalar Chain
- Order
- Equity
- Stability of Tenure of Personnel
- Initiative
- Esprit de Corps

Early Advocates:

- Robert Owen: Proposed a utopian workplace.
- Hugo Munsterberg: Created industrial psychology, focusing on maximizing productivity.
- Mary Parker Follett: Emphasized harmonizing group efforts in management.
- Chester Barnard: Viewed organizations as social systems requiring human cooperation.

Hawthorne Studies:

- Hawthorne studies aimed to improve efficiency by investigating lighting conditions.
- First set of studies: No correlation between lighting changes and individual performance; performance improved regardless of illumination changes.
- Second set: Introduction of the Hawthorne effect—individuals may enhance performance due to increased attention from researchers.
- Third set: Focus on group production norms and individual motivation.

Human Relations Movement:

- It aims to equip managers with social skills needed.

Abraham Maslow:

- He developed a motivation theory based on three assumptions about human nature.
- Maslow proposed a hierarchy of needs, ranging from basic, lower-level needs to higher-level needs:
 - Physiological (lowest)
 - Safety
 - Social
 - Esteem
 - Self-actualization (highest)

Douglas McGregor:

- Developed Theory X (negative assumptions about workers) and Theory Y (positive assumptions) affecting managerial behavior.

Branches in Quantitative Management:

Three branches in Quantitative Management:

- Management Science:
 - The goal is to increase decision effectiveness.
 - Not synonymous with "Scientific Management" or "The Science of Management."
- Operations Management:
 - It focuses on production and delivery of an organization's products and services.
- Management Information Systems (MIS):
 - It focuses on designing and implementing computer-based information systems for management use.

Contemporary Viewpoints:

- Systems theory: Organizations seen as systems of interrelated parts pursuing common goals.
- Contingency Theory: Managerial action depends on specific situation parameters.

Total quality management:

- It is a management that is driven by customer needs and expectations and focuses on continuous improvement in work processes.

System:

- A system is a group of connected parts working together to form a complete and organized unit. It can be in both physical and organizational environments.
- Two basic types of systems are:
 - Closed systems: They are not influenced by and do not interact with the environment.
 - Open systems: These dynamically interact with their environment.

Open vs. Closed Systems:

- Open systems have continuous interaction; closed systems have little interaction and feedback.

Major Components of a System:

- Inputs: Human, materials, financial, equipment, and informational resources.
- Transformation Processes: Managerial and technological abilities convert inputs into outputs.
- Outputs: Products, services, and other outcomes.
- Feedback: Provides Information about results and organizational status.

The Environment:

- The environment refers to external factors outside an organization's control that can impact its performance.
- Types of Environment:
 - External Environment
 - Internal Environment

External Environment:

- External environment refers to external forces as major influences that can impact the success on a product or service.
- Types of External Environments:
 - The Mega Environment
 - The Task Environment

Mega Environment:

- Mega environment reflects broad conditions and trends in societies.
- Elements include technological, economic, legal-political, socio-cultural, and international factors.

Task Environment:

- Task environment consists of specific external elements with which an organization interacts.
- Elements include customers, competitors, suppliers, labor supply, and government agencies.

Stakeholder relationships are managed using four steps:

- Identify external stakeholders
- Determine the specific interests of each stakeholder group
- Decide how critical these interests are to the organization
- Determine what specific approach managers should use to manage each relationship.

The Organization's Culture:

- Organizational culture is a system of shared meaning and beliefs influencing employee behavior.

Seven Dimensions of Organizational Culture:

- Innovation and risk-taking
- Attention to detail
- Outcome orientation
- People orientation
- Team orientation
- Aggressiveness
- Stability

Organizational Social Responsibility:

- Classical View vs. Socioeconomic View:
 - Classical view: Management's primary responsibility is to maximize profits (Milton Friedman)
 - Socioeconomic view: Management's responsibility extends beyond profits to society's welfare.
- Social responsibility is an obligation for a firm to pursue long-term goals that benefit society.
- Social obligation is meeting economic and legal responsibilities.
- Social responsiveness is the capacity to adapt to changing societal conditions.

Entrepreneurship:

- Entrepreneurship is the pursuit of innovative opportunities to create value, unbounded by current resources, with a focus on fulfilling wants and needs.
- Three important themes include: Pursuit of opportunities, innovation, and growth.

Four Views of Managerial Ethics:

- Utilitarian view
- Rights view
- Theory of justice view
- Integrative social contracts theory

Categories of E-Business Involvement:

- E-business enhanced, e-business enabled, total e-business.

What is planning?

- Planning involves defining organizational goals, establishing strategies, and creating comprehensive plans.

Why do Managers plan?

- Guide the organization
- Handle changes smoothly
- Coordinate team efforts
- Deal with uncertainties
- Avoid unnecessary tasks
- Set clear goals for control

Decision-Making Process:

- Decision-making is part of all four managerial functions.
- Decision-making involves identifying problems, allocating criteria, developing alternatives, analyzing, selecting, implementing, and evaluating.

Descriptive vs. Normative Decision-Making Models:

- Descriptive models describe how managers actually make decisions.
- Normative models describe how managers should make decisions, aiming for a more effective process.

Decision-Making Situations:

- Different decision-making situations exist based on the types of problems.
 - Certainty: Rare; known outcomes for each alternative.
 - Uncertainty: Common; decisions made without complete knowledge.
 - Risk: Involves potential unintended losses, often due to uncertainty in a dynamic environment.

Decision makers face three types of problems:

- Three types of problems: crisis problems (urgent), non-crisis problems (important but not urgent), and opportunity problems (potential for gain).

Types of Decisions:

- There are two types of decisions:
 - Programmed decisions often based on established practices; suitable for first-line and some middle managers.
 - Non-programmed decisions are unique and require custom-made solutions.

Types of Problems:

- A problem can be well-structured or poorly structured
 - Well-structured problems are straightforward, familiar, and easily defined, often used by programmed decisions. Plans include: Procedure, Rule, and Policy.
 - Poorly structured problems are new or unusual, requiring non-programmed decisions.

General Organizational Situations:

- Higher-level managers deal with poorly structured problems, using non-programmed decisions.
- Lower-level managers handle well-structured problems using programmed decisions.

Decision-Making Styles:

- Managers have different styles based on two dimensions: way of thinking (rational or intuitive) and tolerance for ambiguity (low or high).
- Four decision-making styles in a two by two matrix:
 - Directive: Low tolerance for ambiguity, rational thinking.
 - Analytic: High tolerance for ambiguity, rational thinking.
 - Conceptual: Intuitive thinking, high tolerance for ambiguity.
 - Behavioral: Low tolerance for ambiguity, intuitive thinking.

The Satisficing Model:

- Developed by Herbert Simon and it focuses on the idea that managers aim to find a satisfactory solution rather than the optimal one.

Incremental Model:

- Managers make the smallest response to reduce a problem to a tolerable level

Garbage-Can Model:

- Managers behave randomly in making non-programmed decisions

Group Decision-Making Tools:

- Teleconferencing:
 - Electronic meetings via phone or computer networks.
- Group Decision Support Systems:
 - Computer-based systems supporting groups on less defined problems.
- Computer Aids:
 - Increase creativity but face-to-face meetings show stronger consensus and satisfaction.

Group Decision making:

- Advantages:
 - Diverse information and alternatives.
 - Greater understanding and skill development.
- Disadvantages:
 - Time-consuming.
 - Potential for delays and groupthink.